BUSINESS

How The Creator Of BET Became A Billionaire

Robert Johnson created Black Entertainment Television, became the first Black billionaire, cashed out, then dropped from the Forbes list—but kept on investing.

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Robert Johnson , the only college graduate among ten children born to a working-class Illinois family, was a 30-something-year-old lobbyist for the fast-growing cable industry when he had a life-changing idea. Invited to Capitol Hill to help pitch a Congressman on a channel for older Americans, Johnson reviewed the business plan and each time it said "elderly," he crossed it out and replaced it with the word Black.

After securing a $15,000 bank loan from the National Bank of Washington, Johnson pitched billionaire John Malone, then CEO of cable giant TCI, on a channel targeted to Black consumers. After just 30 minutes of conversation in his office, Malone agreed to pump $500,000 into the new channel, taking a 20% stake on behalf of TCI.

BET, which turned its first profit after five years, became the first Black-owned company to trade on the New York Stock Exchange starting in 1991. Johnson and others took it private at a $1.3 billion valuation in 1998 and flipped it three years later to Viacom for $3 billion.

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By Jabari Young

The deal made many people rich. "The idea was everybody started at the bottom and everybody rode the elevator up," Johnson said in an 2022 interview at the Black Men Xcel Summit about the BET listing and sale. "To me, capitalism as a founder is about bringing your people in and giving them a significant piece of the opportunity, so they feel you have a commitment to their success as much as you have a commitment to your own."

No one got richer than Johnson, who debuted on the cover of *Forbes* magazine that year as the nation's first Black billionaire, then worth $1.3 billion. But it wasn't long before his fortune took a hit.

Johnson split with his cofounder wife just one year after the sale, and the pair divvied up their huge haul of Viacom shares. Sheila went on to build the Salamander Collection of luxury hotels and invest in the WNBA's Mystics, the NBA's Wizards and the NHL's Capitals. One of America's wealthiest self-made women, she is worth an estimated $1.1 billion today.

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Johnson, meanwhile, turned his attention to sports ownership of his own. In 2002, he led a group that paid a $300 million expansion fee to create the Charlotte Bobcats (named after himself), making him the first Black majority owner in the NBA.

The investment proved costly. Johnson barely generated a return, with operating losses estimated at close to $80 million, including $30 million in the 2008-09 season alone, according to *Sports Business Journal*. Around then, with the Great Recession hitting Viacom stock, Johnson dropped off *Forbes*' billionaires list.

It was a rare money losing deal in sports. He sold control of the Bobcats (now known as the Hornets) in 2010 to basketball legend Michael Jordan in a $275 million deal that mainly consisted of the assumption of the team's debt. (By the time Jordan sold out entirely in 2023, the team's value had grown tenfold.)

Still, Johnson kept making other bets. Thanks to his next act as an investor, he has once again climbed into the billionaire ranks and is now being recognized as a member of the Forbes BLK list of 50 Money Masters, the most powerful and wealthiest Black Americans in alternative investments.

While he declined to speak with *Forbes*, we were able to cobble together a look into his busy post-BET life. Through his RLJ Companies, a holding firm he set up in 2002, he has investments in 401(k) fintech services, sports betting, gaming and content streaming. One of its companies is fashion firm Brett Johnson, named after its designer who also happens to be Robert's son. (His daughter Paige is a champion equestrian.) Through RML Automotive, he has a portfolio of dealerships selling 16 car brands across seven states.

He also operates $155 million (assets) RLJ Equity Partners, a middle-market private equity firm he set up in 2006. Portfolio companies include everything from Ogle School, a provider of cosmetology and esthetics instruction on nine Texas campuses, to Growers House, a leading online retailer of supplies and equipment for hydroponic cultivation. (The latter also operates CannaCribs, a YouTube series highlighting different aspects of the cannabis industry.)

Another key business, RLJ Lodging Trust, is a publicly traded real estate investment trust valued at about $1.2 billion, with 94 hotels nationwide, mostly in partnerships with Hilton, Marriott and Hyatt. In 2024, the trust acquired the Wyndham Boston

Beacon Hill for $125 million, with plans to convert it to part of Hilton's Tapestry Collection beginning in late 2026.

Johnson has emerged as a vocal advocate for the Black community, arguing that both for-profit corporations and the government should pay reparations to help close the racial wealth gap. Reflecting on his legacy in a 2020 interview with BET, the company he cofounded more than four decades ago, he said, "BET is a voice, and the culture needs a voice to speak for the diversity of a country, diversity of a culture. BET has been that voice for over 40 years, and I expect BET will be that voice for many, many years to come."

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